**PRESS RELEASE AND REPORT**

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| ALBERTA | Subsections 176(1), 176(2), and 176(3) of the *Securities Act* (Alberta) |
| BRITISH COLUMBIA | Subsections 111(1) and 111(2) of the *Securities Act* (British Columbia) |
| MANITOBA | Subsections 92(1) and 92(2) of the *Securities Act* (Manitoba) |
| NEWFOUNDLAND | Subsections 102(1) and 102(2) of the *Securities Act* (Nova Scotia) |
| NOVA SCOTIA | Subsections 107(1) and 107(2) of the *Securities Act* (Ontario) |
| ONTARIO | Subsections 101(1) and 101(2) of the *Securities Act* (Ontario) |
| QUEBEC | Sections 147.11 and 147.12 of the *Securities Act* (Quebec) |
| SASKATCHEWAN | Subsections 110(1) and 110(2) of the *Securities Act, 1988* (Saskatchewan) |

1. **Name and address of the offeror:**

   Maple Leaf Foods Inc.
   30 St. Claire Ave. West
   Toronto, Ontario
   M4V 3A2

2. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities of which the offeror acquired ownership or control in the transaction or occurrence giving rise to the obligation to file the report, and whether it was ownership or control that was acquired in those circumstances:**

   On January 30, 2003, Maple Leaf Foods Inc. ("Maple Leaf") acquired ownership and control of 4,000,000 common shares (the "Shares") of Canada Bread Company, Limited ("Canada Bread") pursuant to a private placement. Prior to this transaction, Maple Leaf beneficially owned 14,633,315 common shares representing approximately 68.3% of the outstanding common shares of Canada Bread.

3. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities immediately after the transaction or occurrence giving rise to obligation to file the report:**

After acquiring the Shares indicated in question 2, Maple Leaf and owned 18,633,315 common shares representing approximately 73.3% of the outstanding common shares of Canada Bread

4. **Designation and number or principal amount of securities and the percentage of outstanding securities of the class of securities referred to in paragraph 3 over which:**

   (i) **the offeror, either alone or together with any joint actors, has ownership and control,**

   (ii) **the offeror, either alone or together with any joint actors, has ownership but control is held by other persons or companies other than the offeror or any joint actor, and**

   (iii) **the offeror, either alone or together with any joint actors, has exclusive or shared control but does not have ownership;**

   Maple Leaf has ownership and control of the Shares acquired.

5. **Name of the market in which the transaction or occurrence that gave rise to the report took place:**

   The Shares were acquired by way of private placement from treasury.

6. **Purpose of the offeror and any joint actors in effecting the transaction or occurrence that gave rise to the report, including any future intention to acquire ownership of, or control over, additional securities of the reporting issuer:**

   The Shares were acquired for investment purposes.

7. **General nature and the material terms of any agreement, other than lending arrangements, with respect to securities of the reporting issuer entered into by the offeror, or any joint actor, and the issuer of the securities or any other entity in connection with the transaction or occurrence giving rise to the report, including agreements with respect to the acquisition, holding, disposition or voting of any of the securities:**

   Maple Leaf offered to purchase the Shares on December 10, 2002. Canada Bread accepted the offer on January 10, 2003. The parties entered into a subscription agreement for the Shares on January 30, 2003.

8. **Names of any joint actors in connection with the disclosure required by this report:**

   Not applicable.

9. **The nature and value of the consideration paid by the Offeror:**

   The Shares were acquired at $26.50 per share for an aggregate purchase price of $106 million. The purchase price was paid in cash.

10. **Where applicable, a description of any change in any material fact set out in a previous report filed under the early warning requirements of applicable Canadian securities legislation:**

Not applicable.

**DATED** at Toronto, Ontario as of January 30th, 2003.

**MAPLE LEAF FOODS INC.**

By: ***"Rocco Cappuccitti"***
Name: Rocco Cappuccitti
Title: Corporate Secretary